

cover a longer fixed investment period than the savings bonds, and would introduce more flexibility in the interest-rate provisions.*

It is hardly worthwhile to talk about nonconvertible preferred stocks, since their special tax status makes the safe ones much more desirable holdings by corporations—e.g., insurance companies— than by individuals. The poorer-quality ones almost always fluctuate over a wide range, percentagewise, not too differently from common stocks. We can offer no other useful remark about them. Table 16-2 below, p. 406, gives some information on the price changes of lower-grade nonconvertible preferreds between December 1968 and December 1970. The average decline was 17%, against 11.3% for the S & P composite index of common stocks.